

## EUROPEAN UTILITIES

## Back to School: A bias for Renewables

Concerns over rising rates and approaching general elections (France, Italy) could temporarily put a lid on sector performance. However, we would use any weakness as an entry point into our Buy-rated stocks: we believe the sector is already pricing in a strong increase in rates, whilst the re-opening of Hormuz should ultimately lower the cost of capital. Energy prices are likely to be strong into winter, and the 'earnings super cycle' growth thesis (electrification, datacenters) is gaining momentum. We are positive on Renewables (including **RWE**, **Solaria**, and **Drax**) and see **Naturgy** and **PPC** as transformational stories.

**Uncertain macro.** Sticky inflation and concerns over rising interest rates have been a headwind since March, and may continue to weigh on the sector. Additionally, the market may start to price a degree of election risk, especially where the affordability debate is more acute (France, Italy).

**Higher rates hurt perception more than fundamentals:** a large share of fixed debt, long debt duration, a meaningful de-rating since the start of the energy crisis, and stronger than perceived pricing power (e.g., RES PPAs, allowed returns), imply only modest fundamental risk from rising rates, as we detailed [here](#). We note that the re-opening of Hormuz should ultimately be a positive, as it should eventually lower the cost of capital.

**'TTF skew' into winter.** With storage levels currently c.25% below historical averages, a normal winter might see stronger than expected gas and power prices.

**Electrification and datacenters gaining momentum.** The inflection in power consumption (2%-3% up yoy in Europe), a pick-up in electrification (e.g., EV sales +50%), and the acceleration in datacenter development should translate into higher investments, margins and returns. We expect the early 2027 CMDs of the key power utilities to unlock meaningful upgrades for 2028-31.

**A bias for renewables:** (1) *US mid-term elections* could see tailwinds for EDPR, RWE, Orsted, and the main Manufacturers (ENR, VWS, Nordex); (2) *resilient TTF prices* into winter would prove a tailwind, as c.30% of the top-line of the main RES developers is merchant; and (3) *datacenter deals* (RWE, Solaria, PPC, Drax) could unlock incremental value.

**Alberto Gandolfi**

+39(02)8022-0157 |  
alberto.gandolfi@gs.com  
Goldman Sachs Bank Europe SE - Milan  
branch

**Ajay Patel**

+44(20)7552-1168 | ajay.patel@gs.com  
Goldman Sachs International

**Mafalda Pombeiro**

+44(20)7552-9425 |  
mafalda.pombeiro@gs.com  
Goldman Sachs International

**Dhwani Khenwar**

+1(332)245-7724 |  
dhwani.khenwar@gs.com  
Goldman Sachs India SPL

**Lawrence Lavizani**

+44(20)7051-1060 |  
lawrence.lavizani@gs.com  
Goldman Sachs International

**Liam Brueckner**

+44(20)7051-6099 |  
liam.brueckner@gs.com  
Goldman Sachs International

---

Goldman Sachs does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision. For Reg AC certification and other important disclosures, see the Disclosure Appendix, or go to [www.gs.com/research/hedge.html](http://www.gs.com/research/hedge.html). Analysts employed by non-US affiliates are not registered/qualified as research analysts with FINRA in the U.S.

## Back to School: A bias for Renewables

---

Utilities face a seemingly challenging macro backdrop: interest rates have risen by +c.60 bp since the start of the energy crisis and the market may start to price in a degree of election risk in certain regions (France, Italy). However, we note several reasons why we would use any pullback as a buying opportunity for our preferred stocks.

**First**, European utilities' share prices have already declined by -10% since the start of the Middle East conflict, and we estimate are therefore already pricing in a +70 bp increase in rates, while a reopening of Hormuz should ultimately lead to a drop in the cost of capital. **Second**, with gas storage levels currently some 25% below historical averages, the outlook for gas and power prices into winter seems supportive. **Third**, sector fundamentals are increasingly solid in Europe, on stronger than anticipated power demand, the growing momentum of electrification (EV sales +50% yoy and heat pump (HP) applications are up by +35%), and a pick-up in datacenter development; this backdrop should translate into higher investments, margins and returns.

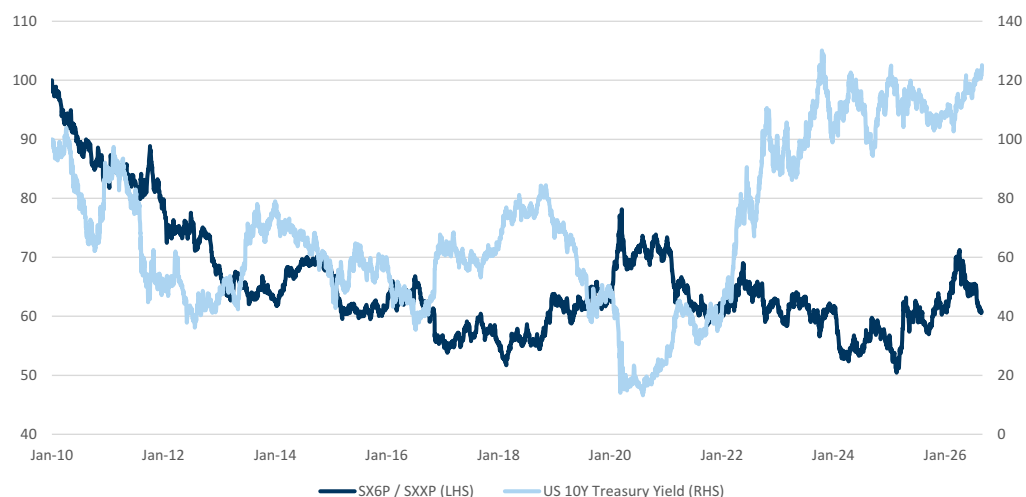
The mid-term outlook for power prices, the rising focus on energy security, and potential tailwinds from mid-term elections provide support for the renewables developers and manufacturers, we believe. We are Buy-rated on **RWE, Solaria, Drax, Nordex, Siemens Energy** and **Vestas**. We also flag **Naturgy** as the most transformational opportunity in the sector.

### Uncertain macro: rates outlook and creeping elections risk

The increasingly prolonged conflict in the Middle East has been detrimental to utilities, mostly on fears of rising interest rates: interest rates have increased by +60 bp since the start of the energy crisis (in February 2026). Sticky inflation rates, lately at c.3%-4% across the Eurozone and the US, have added to the problem. Since the conflict started, European utilities have underperformed the Stoxx 600 by -c.10%.

**Exhibit 1: Historically, Utilities have underperformed the wider market when yields rise**

US 10-year Treasury yields vs. relative performance of SX6P vs SXXP (rebased to 100, since January 2010)



Source: Bloomberg

As we approach year-end, we also note that the market could begin to price in a rising degree of ‘elections risk’, especially in France and Italy where the debate on affordability seems quite pronounced.

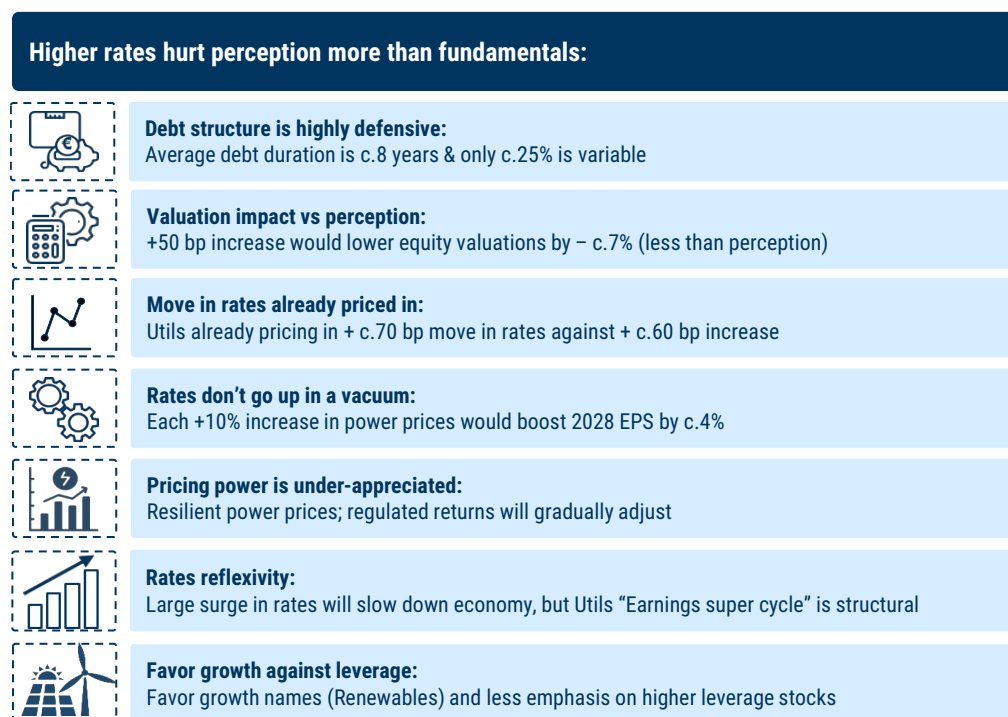
**Higher rates hurt perception more than fundamentals**

In response to investor concerns over rising interest rates, in our recent report ([here](#)) we looked at the impact a higher cost of capital could have on the sector. Clearly, rising rates would be a negative for an industry that features high capital intensity, and asset-backed, long-duration cash flows. However, impact is – fundamentally – much lower than generally perceived we believe, for six reasons:

- **Debt structure is highly defensive:** the average debt duration for the European utilities is c.8 years, and only c.25% of the debt stock pile is variable. This protects near-term profits against a sudden rise in rates.
- **Valuation impact vs. perception:** each +50 bp increase in rates would lower average equity valuations by -7%, we estimate. Although relevant, this is less than generally perceived, we believe. On earnings, the EPS impact by 2028E would be -4%.
- **Move in rates already appears priced in:** since the start of the energy crisis, rates have risen +c.60 bp across Europe and the sector has de-rated by -c.10% (-c.8% decline, +c.3% EPS revisions). We estimate that the utilities are therefore already pricing in a +c.70 bp move in rates.
- **Rates don’t go up in a vacuum:** rising energy prices is one of the main reasons underpinning higher rates. As hedges roll off, each +10% increase in power prices would boost 2028E EPS by +4%.

- **Pricing power is under-appreciated:** besides resilient power prices, regulated returns should gradually adjust as new renewable PPAs will reflect higher borrowing costs. In some regions (the UK, Italy), inflation is an immediate RAB boost. Ultimately, the rates increase seen thus far should have a low-single-digit valuation impact, in our view.
- **Rates reflexivity:** a large surge in rates would eventually slow the economy. However, the utilities 'earnings super cycle' that we forecast is structural. Over 2026-30, we forecast an EPS CAGR of +8% (+10% on average for Buy-rated electrification compounders).
- **We favour growth against leverage.** We favour growth stocks (Renewables) and place less emphasis on higher-leverage stocks (e.g. Terna, Elia or Redeia); rising inflation could also penalize 'nominal' regulatory regimes (e.g., Spain).

#### Exhibit 2: Higher rates hurt perception more than fundamentals Infographic

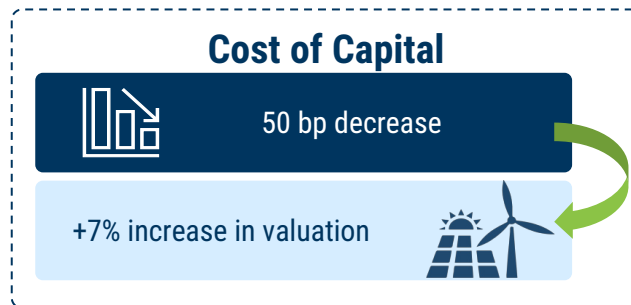


Source: Goldman Sachs Global Investment Research

#### Hormuz re-opening should be a positive

Although de-escalation headlines have to date led to brief periods of sector underperformance (rotation into cyclicals), the re-opening of Hormuz should eventually be a positive, as it should lead to a lower cost of capital. We stress that each –50 bp reduction in the risk free rate would boost the utilities' valuations by +c.7%, on average, on our estimates.

**Exhibit 3: Each 50 bp decrease in the cost of capital should lead to an average +c.7% increase in equity valuations**  
Infographic



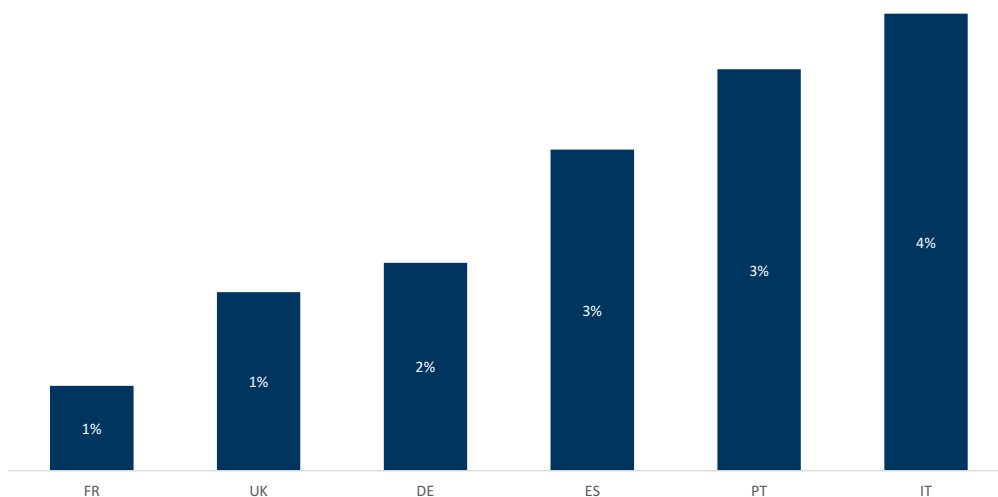
Source: Goldman Sachs Global Investment Research

**Electrification and datacenters are gaining momentum**

Year to date, **power consumption** has been increasing by 2%-3% in most European regions; although a cold January and the June/July heatwaves have been supportive, growth rates are far ahead of most expectations.

**Exhibit 4: Power demand continues to grow across Europe**

Power demand evolution, 2025 vs. 2026 (percentage, ytd)

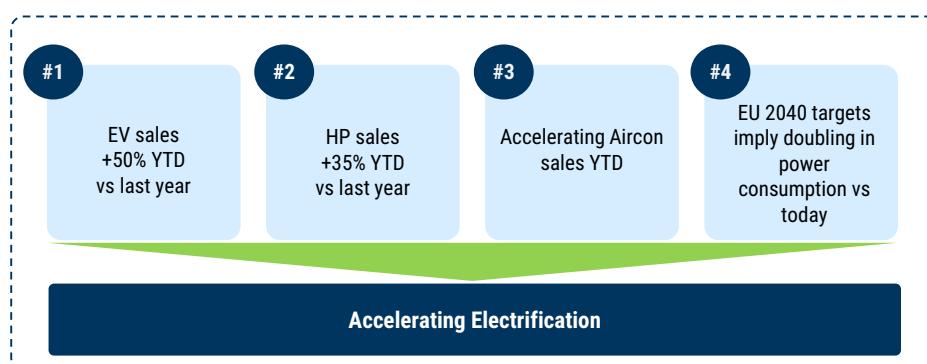


Source: Entsoe, Elexon

We also note that **electrification** in Europe is gaining momentum; the sale of electric vehicles (+50% yoy in Germany), and heat pumps (+35% yoy) is accelerating, and the new electrification targets recently presented by the European Commission imply a doubling in power consumption by 2040, vs. current levels.

**Exhibit 5: Several catalysts are accelerating electrification**

Infographic



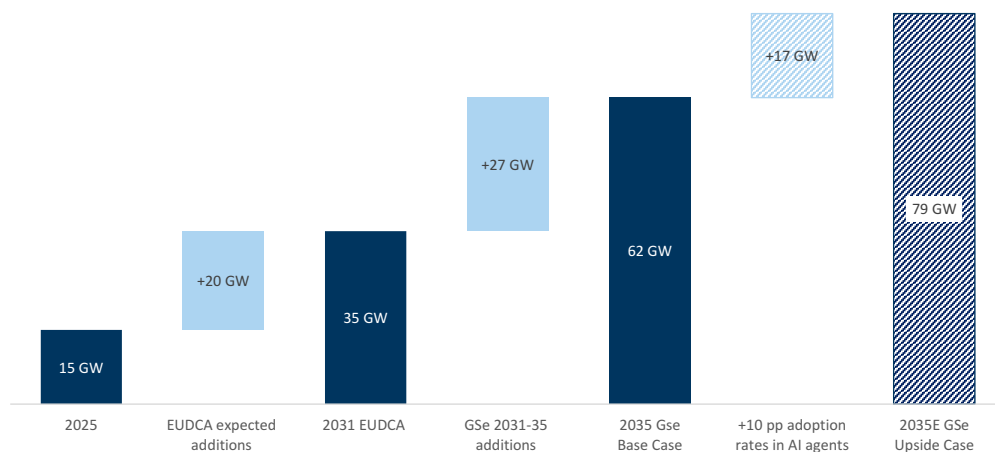
\*1 &amp; 2 refers to Germany

Source: Goldman Sachs Global Investment Research

At the same time, we see rising evidence that the development of **datacenters** in Europe is significantly picking up – by later in the decade we believe that DCs could support 1%-2% annual power consumption growth, well beyond 2035 (more [here](#)).

**Exhibit 6: By 2035, Europe's datacenter market could reach c.80 GW capacity in our upside scenario**

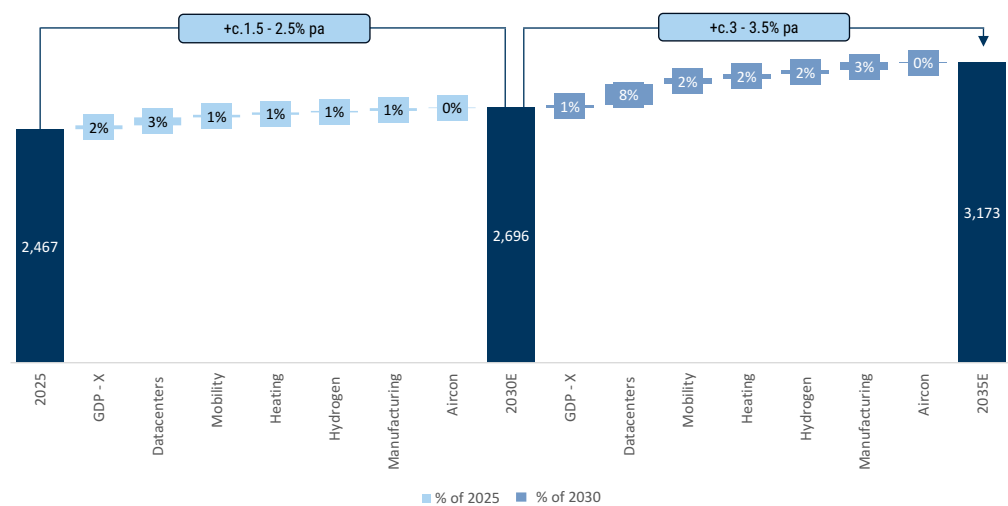
EU Datacenter capacity evolution potential, 2025-35 (GW)



Source: Goldman Sachs Global Investment Research, European Data Center Association

Although our earnings estimates embed only 1%-2% pa power demand growth, we see demand after 2030 reaching 3%-3.5% in our base case scenario. Accelerating electrification and DC roll-out could lead to peaks of +5% per annum.

**Exhibit 7: We forecast power consumption growing 1.5%-2.5% pa over 2025-30E, with growth rising to 3%-3.5% pa post-2030**  
EU 2025-35E power demand evolution GSe base case, breakdown by driver (TWh, percentage)

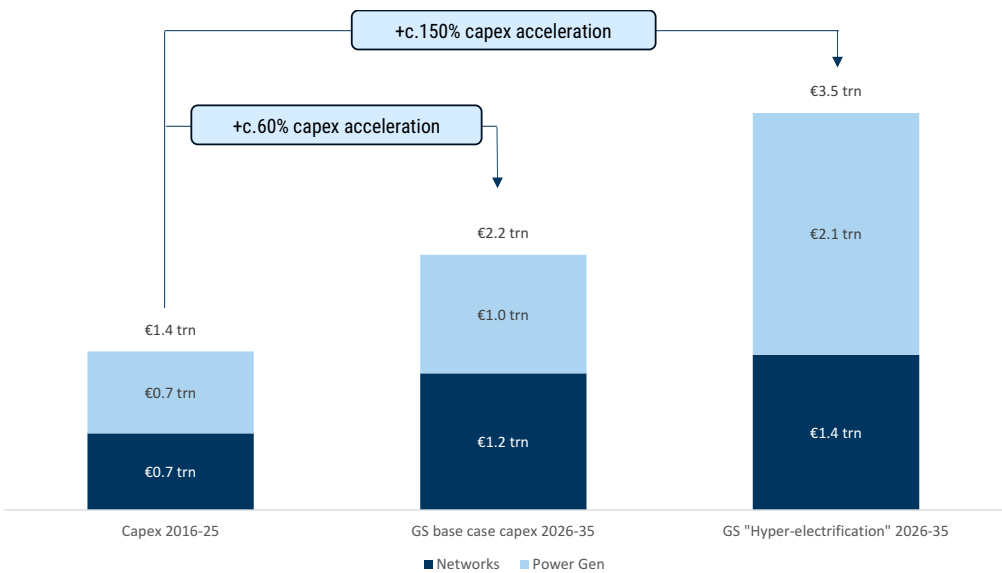


Source: Goldman Sachs Global Investment Research

**The earnings super cycle is being overlooked**

This picture is likely to support accelerating infrastructure investments in electricity, which imply higher-for-longer organic growth. Typically, supply tends to respond more slowly to an inflection in power demand (e.g., the US) and initially this implies rising margins and returns. This should translate in what we define as an ‘earnings super cycle’ for the European utilities industry.

**Exhibit 8: We estimate €2.2-3.5 trn of electrification investment needs over 2026-35, a significant acceleration vs. history**  
EU power sector, 10-year cumulative capex, breakdown by driver (€ trn)

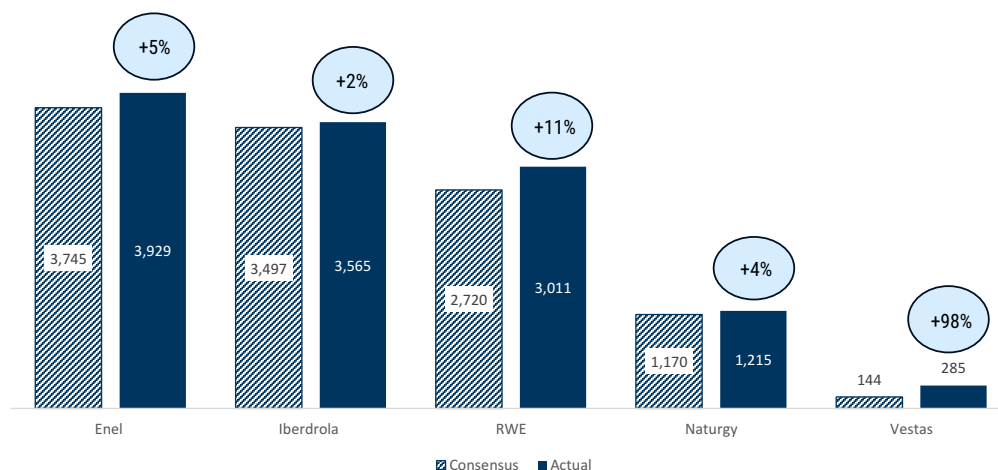


Source: Goldman Sachs Global Investment Research

At their first half results, several companies in our coverage have beaten consensus expectations and upgraded their guidance for full-year 2026.

**Exhibit 9: Several companies outperformed H1 2026 consensus expectations, by as much as c.100%**

H1 2026 consensus net income vs. actual for selected stocks, (€ mn, %)



Source: Company data, Visible Alpha Consensus Data

The recent (strong) Q2 season appears a prelude of what might come early next year, when several large-cap companies will host their CMDs and at which we anticipate meaningful guidance upgrades for 2028-31. Below, we compare our “end of plan” EPS estimates against consensus: we are ahead of the street in most cases.

**Exhibit 10: Late-2026 and early 2027 CMDs are likely to trigger medium-term earnings upgrades we believe**

Potential upcoming CMDs by company

| Upcoming CMDs                      | Time       | End of Period | Co Guidance | Consensus | GSe   | GSe vs. Cons |
|------------------------------------|------------|---------------|-------------|-----------|-------|--------------|
| Siemens Energy <sup>1</sup> (€ bn) | Q4 2026    | 2030          | NA          | 13.8      | 14.6  | 6%           |
| Drax <sup>2</sup> (£ mn)           | Q4 2026    | 2029          | 650 - 800   | 769       | 800   | 4%           |
| Engie <sup>3</sup> (€ mn)          | Q1 2027    | 2028          | 5,200-5,800 | 5,677     | 5,731 | 1%           |
| RWE <sup>4</sup> (€/share)         | Q1 2027    | 2031          | 4.55        | 4.72      | 5.65  | 20%          |
| Enel <sup>4</sup> (€/share)        | Q1 2027    | 2028          | 0.80-0.82   | 0.80      | 0.85  | 6%           |
| EON <sup>4</sup> (€/share)         | Q1-Q2 2027 | 2030          | 1.45        | 1.55      | 1.58  | 2%           |
| Naturgy <sup>4</sup> (€/share)     | Q2 2027    | 2030          | NA          | 2.19      | 2.61  | 20%          |

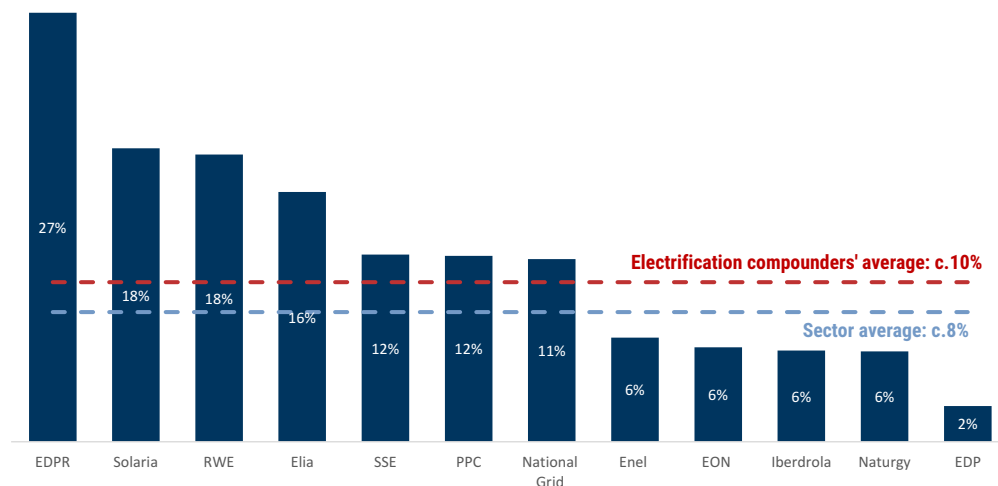
1. EBITA, 2. EBITDA, 3. Net Income, 4. EPS; Drax numbers exclude Innovation & Capital Projects division

Source: Company data, Goldman Sachs Global Investment Research, Visible Alpha Consensus Data

A larger-than-expected surge in interest rates could eventually slow the entire economy. However, by contrast, the earnings growth that we forecast for the utilities (earnings super cycle, see [here](#)) is much more structural than the near-term credit cycle, as it is driven by mega-trends in electrification and datacenters/AI. Over 2026-30, we forecast that the sector will grow its EPS, on average, by +8% pa (Electrification Compounders should grow by +10% pa on average).

**Exhibit 11: Over 2026-30, we forecast that the sector will grow its EPS on average by +8% pa (+10% pa for Electrification compounds)**

2026-30 EPS CAGR of large cap names vs sector & buy-rated electrification compounds' average (percentage)



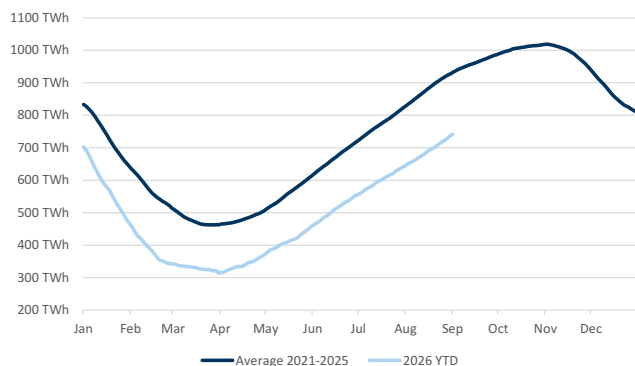
Source: Goldman Sachs Global Investment Research

**A positive 'TTF skew' into winter**

Supply disruptions in the Middle East, coupled with a heatwave across Europe and Asia, led to a tighter S/D balance in the global LNG market. With European storage levels below the historical average, our commodities team believes that a normal winter would lead to a sustained strength in TTF prices ([here](#)).

**Exhibit 12: Gas storage levels are c.25% lower YTD than the historical average**

EU Gas storage level YTD vs. 2021-25 avg. (TWh)



Source: AGSI

**Exhibit 13: TTF gas prices in Europe are up by over 50% since the start of the year, on a tightening S/D balance triggered by the Middle East conflict**

TTF gas price 1-year forward (€/MWh)



Source: Bloomberg

This would benefit power generators, renewables (e.g., RWE, Solaria, EDPR, Orsted) and companies with gas commercial activities (e.g., Naturgy). For the main generators, we estimate that each +10% increase in power prices (c.€5-10/MWh across most regions) would boost EPS by +c.4%-5% in 2028-29E.

**Exhibit 14: Our sensitivity analysis suggests a mid-single-digit earnings impact on average**

Net income impact from power price moves, assuming hedging policies by company (percentage)

|                           | Net Income impact vs GSe |           |           |           |           |
|---------------------------|--------------------------|-----------|-----------|-----------|-----------|
|                           | Merchant exposure (TWh)  | 2027E     | 2028E     | 2029E     | Average   |
| Acciona Energia           | 6                        | 9%        | 11%       | 10%       | 10%       |
| Solaria                   | 3                        | 12%       | 9%        | 8%        | 10%       |
| Fortum                    | 48                       | 7%        | 9%        | 12%       | 9%        |
| PPC                       | 18                       | 8%        | 9%        | 10%       | 9%        |
| EDPR                      | 8                        | 3%        | 4%        | 6%        | 5%        |
| Endesa                    | 39                       | 3%        | 3%        | 7%        | 4%        |
| EDP                       | 15                       | 2%        | 3%        | 5%        | 4%        |
| RWE                       | 24                       | 2%        | 2%        | 3%        | 2%        |
| Drax Group                | 1                        | 3%        | 2%        | 2%        | 2%        |
| Centrica                  | 7                        | 2%        | 2%        | 3%        | 2%        |
| Enel                      | 57                       | 1%        | 2%        | 3%        | 2%        |
| Iberdrola                 | 51                       | 1%        | 1%        | 3%        | 2%        |
| Naturgy                   | 10                       | 1%        | 1%        | 2%        | 1%        |
| SSE                       | 11                       | 1%        | 1%        | 1%        | 1%        |
| Orsted                    | 6                        | 1%        | 1%        | 1%        | 1%        |
| Engie                     | 15                       | 0%        | 1%        | 1%        | 1%        |
| <b>Average impact (%)</b> |                          | <b>3%</b> | <b>4%</b> | <b>5%</b> | <b>4%</b> |

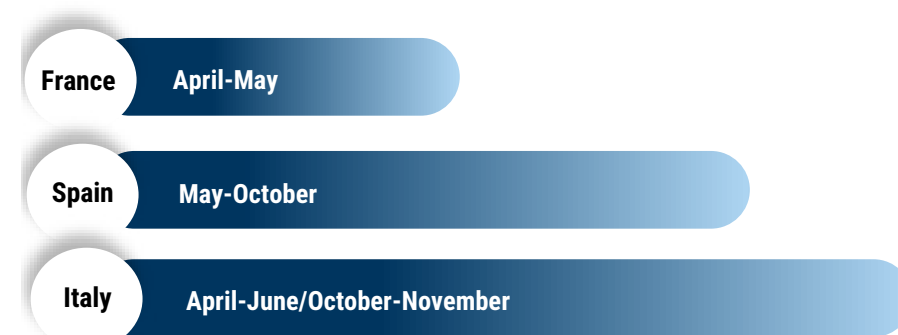
Source: Goldman Sachs Global Investment Research

**An eye to the 2027 elections**

Investors may begin to price in a degree of ‘elections risk’, especially in France and Italy, where the debate on affordability could be more pronounced. This could bring some headwinds to Engie, Veolia, Enel, Terna and Snam.

**Exhibit 15: Elections in several key geographies will occur in 2027**

Infographic



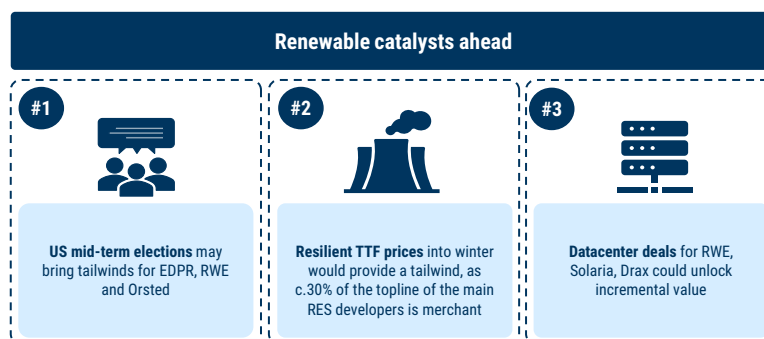
Source: Goldman Sachs Global Investment Research

**A bias for Renewables**

The allowed returns in regulated utilities will gradually be adjusted upward; new contracts for renewable energy should reflect a higher cost of capital and higher power prices provide incremental tailwinds.

### Exhibit 16: We see major upcoming catalysts for the RES developers

Infographic



Source: Goldman Sachs Global Investment Research

### Manufacturers on the rise

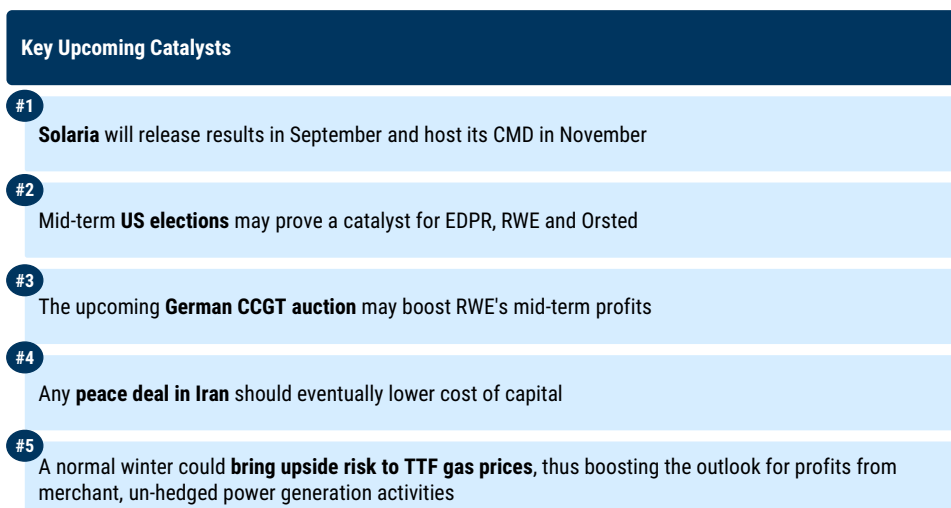
The RES OEMs seemingly face a positive set up. Siemens Energy's upcoming CMD could see higher top-line growth and margin guidance, with higher returns of value. For Vestas and Nordex, higher order intakes may drive a stronger revenue outlook and EBIT margin guidance upgrades. The end result, in our view, will be an overshoot vs. medium-term margin guidance.

### Plenty of catalysts

Over the remaining part of the year, we see several company-specific and policy catalysts, including: Germany's infrastructure plan for power distribution and a CCGT auction, US mid-term elections, Solaria's CMD, and upside risk to gas prices as we head towards winter.

### Exhibit 17: Plenty of catalysts through to year end

Infographic



Source: Goldman Sachs Global Investment Research

## Investment theses, valuations and key risks

### Drax (Buy)

**Investment thesis.** At the group level, the medium-term earnings picture is heavily supported by subsidies, providing a contracted premium to power prices and high visibility on cash flows with limited merchant power price risk. This drives an attractive cash generation outlook: we forecast c.£3.5bn of cumulative FCF in 2025–31E, equivalent to 1.4x current market cap, with one-third returned to shareholders (50% of market cap) and two-thirds invested. A common push back we hear on Drax is that it is a low-multiple business with high exposure to government support at Drax Power Station which expires in FY2031. This, in our view, is no longer the case. On our forecasts, Renewables, Flexible generation & Supply comprise c.90% of EBITDA beyond FY2032 with c.50% generated through the investments made in the last 12 months. We estimate Drax is capable of delivering a >15% FCF yield pa beyond FY2031, even assuming no CFD extension at Drax Power Station. Incremental to this, we see upside potential from: (1) Utilising the balance sheet to fund its new developed pipeline; (2) CFD extension at Drax Power Station beyond 2031; and (3) extracting value from the Drax Power Station site through large scale data center development. In our view, this creates a picture with a risk-reward skewed to the upside.

**Valuation methodology.** Our 12-month price target of 1,020p is derived from a sum of the parts using DCFs for each component on our FY27 estimates.

**Key risks.** Key risks to our view and price target include an improving/worsening regulatory and policy environment for biomass generation and pellet production; any unexpected maintenance issues with Drax Power Station which drives significant EBITDA generation; better/weaker-than-expected returns on investment; increasing/reducing data center build-out demand; and positive/negative outcomes on legal challenges.

### EDPR (Buy)

**Investment thesis.** We are Buy-rated for three reasons: (1) *US renewable activities* account for c.65% of the business, and we believe the market underestimates the outlook for industry returns (project IRRs at c.10%–11% on GSe and as recently estimated by the main US developers), which we expect could remain the highest in US RES history for another 3–5 years; (2) *We see significant upside vs. Visible Alpha Consensus Data:* our expectations for rising returns and an acceleration in organic capex later in the decade suggest a boost in net profit by +c.90% over 2028–31E to c.€1.0–1.1 bn depending on asset rotation gains. Our net profit estimate is c.17% ahead of Visible Alpha Consensus Data for 2031; and (3) *AI adoption rates:* EDPR is highly geared to adoption rates in artificial intelligence — DC deals in the US or Iberia provide scope for valuation upside.

**Valuation methodology.** Our 12-month price target is €18.0. We derive our price target from a combination of: 1) 2/3 to our 2027E SOTP of €20.9/share. We value the core RES Business via a DCF, using a 5.8% WACC and model capacity additions through to 2036; and, 2) 1/3 to our valuation of existing assets of €13/share. When valuing the existing assets, we assume no growth beyond 2026. We use an EV/IC approach to derive the valuation of existing assets.

**Key risks.** Key downside risks to our view and price target include: (1) potential delays in the electrification process in the US/Europe; (2) lower-than-expected capacity additions; (3) lower-than-expected power prices; (4) higher sovereign interest rates; and (5) significant appreciation in foreign currencies (USD/BRL).

#### Naturgy (Buy, on CL)

**Investment thesis.** Substantial balance-sheet headroom provides Naturgy with significant strategic optionality. While management has indicated that most of this is likely to be directed toward M&A, it has also emphasized that acquisitions would have to materially enhance the organic growth profile of the entire group. In our view, this strategy creates three potential sources of upside: (1) earnings contributions from acquired businesses, (2) integration synergies, and (3) incremental organic growth opportunities within acquired assets. A potential rotation out of Latam gas distribution assets could provide incremental capital to re-allocate in electricity infrastructure across developed economies. Higher investments (our five-year capex plan forecast is roughly 2x higher than Visible Alpha Consensus Data) would support mid-single-digit growth through the period, and c.20% upside risk to 2030-31 consensus EPS estimates.

**Valuation methodology.** Our 12-month price target is €35. Our price target is based on: (1) a P/E-based valuation (2/3 weight) of €34.7/share, which uses a target P/E multiple of 16x; and (2) an SOTP-based valuation (1/3 weight) of €35.6/share.

**Key risks.** Key downside risks to our thesis and price target: (1) lower-than-expected commodity and power prices; (2) higher sovereign interest rates; (3) worse-than-expected macroeconomic conditions, which could have a negative impact on power prices, power demand (due to weaker activity), and credit conditions, while increasing the risks of regulatory intervention; and (4) lower-than-expected EBITDA yield on new investments funded through re-leveraging, which could dilute profitability.

#### Nordex (Buy)

**Investment thesis.** Nordex is benefiting from the same tailwinds we see driving the broader onshore wind turbine industry. At the top line, improved pricing alongside order growth has supported a recovery of margins. Combined, these create a picture of higher profits and a stronger balance sheet. We see this translating to higher returns of value over time. This could be used for dividends, buybacks, reserves and for investment into the businesses. We expect further improvement in margins and higher cash returns which, combined with an uptick in onshore US and German orders into this year, sets the stage for the company to achieve its medium-term outlook, and we expect the strong share performance to continue.

**Valuation methodology.** We are Buy-rated on Nordex with a 12-month price target of €52.6. Our price target is based on a DCF valuation, for which we use an 8.1% post-tax WACC in the medium and long term.

**Key risks.** Key downside risks to our investment thesis and price target include lower global volumes, changes in government policy, and a decline in commodity prices.

#### Orsted (Buy)

**Investment thesis.** Our Buy rating on Orsted is based on three drivers: (1) *Europe is pivoting towards electrification and renewables.* Following a second energy crunch in less

than five years, Europe may increasingly pivot its energy policy towards electrification, leading to much higher power consumption. Utilities – renewables in particular – would be at the core of this process. In a ‘hyper-electrification’ scenario (see [here](#) for details), we believe power demand growth would eventually peak at +5% pa later in the decade, while investments in power generation, mostly RES, could triple (vs. 2016–25E) to €2 trn over the coming ten years; (2) *US Administration: A softening stance on offshore wind?* The US Administration has recently decided not to appeal the injunction on the Sunrise project, thereby allowing Orsted to continue construction (completion is due in summer 2027). While we cannot rule out another government intervention, we believe it is possible that the administration might allow projects already under construction to reach completion; and (3) *A strong balance sheet by 2028E: a major opportunity for a turnaround.* We estimate that delivering its US projects would push 2028 EBITDA to c.DKK37 bn, without any meaningful capex commitment. We believe that thereafter, the balance sheet could support the development of +1.5 GW pa of new offshore wind, and +c.300 MW of onshore solar/wind. Over 2028–33, we believe this can cumulatively grow EBITDA by +40%, leading to 2033E EBITDA of c.DKK 51 bn, well ahead of Visible Alpha Consensus Data.

**Valuation methodology.** Our 12-month price target is DKK 185. It is based: (1) 2/3 on our SOTP valuation (Dec-2027E) of DKK 205/share; and (2) 1/3 on our valuation of Orsted’s existing assets derived from an EV/IC approach of DKK 143/share.

**Key risks.** Key downside risks to our view and price target include: (1) rising pressure on IRRs; (2) further impairments in projects under development; (3) lower success rates on Offshore Wind auctions; (4) construction delays or cost overruns; (5) lower power prices; and (6) significant GBP and/or USD appreciation/depreciation.

### PPC (Buy)

**Investment thesis.** Over the coming five years, PPC is undertaking a material step-up in investment under its strategy to transform into a key leading regional electrification platform, with a target for its installed base to double within just five years. The plan also marks PPC’s entry into DC infrastructure through a differentiated and highly synergistic business model, giving exposure to a structurally high-growth segment. While our €27/share price target is built on conservative assumptions, successful execution de-risking could support a €31/share valuation. At current levels, we view PPC as one of the most attractive exposures to the European electrification growth theme, with access to structurally undersupplied power markets, and meaningful upside optionality at an undemanding valuation.

**Valuation methodology.** Our 12-month price target is €27. It is based on a blend of the following methodologies:

- A SOTP-based valuation of €29.8/share, weighted one-third. It is based on a combination of a DCF approach for the renewables business — assuming RES additions through 2035E discounted at a c.8% post-tax WACC and with no terminal value, repowering or life extensions assumed — and for distribution, where we model 15 years of cash flows discounted at a c.6% WACC, with a terminal value based on 2040E RAB. The remaining businesses are valued using market multiples.
- Our P/E-based valuation of €25.3/share, weighted two-thirds. This approach is based on average 2028–29E EPS, which we believe better neutralises the distortion

from the recent equity raise while also capturing part of the company's medium-term growth. Our target multiple is based on a sector through-the-cycle P/E of 14.5x.

**Key risks.** Key downside risks to our investment thesis and price target include: (1) Lower commodities and power prices; (2) Lower-than-assumed renewable and battery additions; (3) Lower-than-anticipated returns on new additions; (4) Rising competition in the retail market; (5) Further delays to the lignite phaseout plan; (6) Regulatory intervention; (7) Rising interest rates; and (8) Worse-than-expected macroeconomic conditions.

#### **RWE (Buy, on CL)**

**Investment thesis.** We reiterate our Buy rating, underpinned by three key drivers: (1) *Accelerating electrification:* rising energy security needs and improving economics for heat pumps, EVs, and industrial electric boilers are supporting an acceleration in Europe's electrification trend. As supply tends to adjust more slowly to a pick up in power demand, we believe Europe is entering an increasingly attractive environment for renewable returns, similar to that seen in the US. Over time, this should also support stronger RES development; (2) *Highly geared to AI and datacenters:* the roll-out of datacenters in the US and the substantial evidence that this is also translating to Europe (see [here](#)) provide tailwinds to RWE. Selling sites and providing energy could prove value-enhancing (see [here](#)). In addition, rising power consumption could drive substantial upside in FlexGen profits (c.€300-600 mn pre-tax upside by 2030-31 under our "hyper-electrification" scenario of +5% demand growth pa in Europe vs our base case, as detailed [here](#)); and (3) *Amprion strategic pivot may prove a major positive:* as detailed [here](#), RWE might be set to increase its stake in the transmission system operator (TSO) Amprion. Although such a step would denote a strategic pivot, we argue that it could prolong 'earnings growth duration', lower the cost of capital for the overall business, and potentially turn RWE into an 'Iberdrola-esque' company. If properly executed, this could create long-lasting value for shareholders.

**Valuation methodology.** Our 12-month price target is €75. Our price target is based: (1) 2/3 on our 2027E SOTP-based valuation of €80.9/sh. We value the FlexGen business at a target valuation multiple of 8x and the renewables business using a DCF, based on a WACC of 6.1% and on capacity additions until 2035 with no terminal value; and, (2) 1/3 on the value of existing assets, at €63.1/share. When valuing existing assets, based on an EV/IC model, we assume no future growth beyond 2026. We are Buy rated.

**Key risks.** Key downside risks to our view and price target include: (1) Recession and falling power demand; (2) Weaker-than-expected LNG and power prices; (3) Higher sovereign interest rates; (4) Weak execution in the renewable pipeline; and (5) GBP/USD depreciation.

#### **Siemens Energy (Buy, on CL)**

**Investment thesis.** We see Siemens Energy's delivery this year as providing reassurance on fundamental demand tailwinds for the business (data center demand, grid capex, energy security), and expect further top-line growth and margin improvement. Beyond FY 2028, our estimates imply more than 60% earnings growth through to FY2030, and a further material acceleration in cash flow. This would leave Siemens Energy trading at a

c.6x 2030E EV/EBITDA, with visibility and growth expanding. The growth we expect is driven by: (1) higher OEM volumes and stronger service profitability within Gas Service; (2) strong and long-duration top-line growth in Grid Technologies; and (3) increased focus on offshore wind at Siemens Gamesa. Looking at capital returns, we see scope for more than €25bn to be returned to shareholders out to the end of the decade. We continue to see execution narrowing the valuation gap with GE Vernova (covered by Joe Richie), which trades at broadly twice the multiple of Siemens Energy at c.21x 2028E EV/EBITDA.

**Valuation methodology.** We are Buy rated (on CL) on Siemens Energy, with a 12-month price target of €212. Our SOTP-based valuation methodology is based on a peer group CY27E EV/EBITA multiple for Gas & Power of 21.5x. We value Siemens Gamesa using a DCF, in which we use a 7.4% post-tax WACC.

**Key risks.** Key downside risks to our investment thesis and price target include: Inability to manage the quality issues emerging in specific onshore wind turbine models, increasing competition and price pressure, failure to deliver cost savings, a weaker economy, and FX and material headwinds.

### Solaria (Buy)

**Investment thesis.** We believe the market is overlooking the fact that Solaria is the highest-returning (17% ROE by 2028E) renewables developer in our coverage. This is the result, in our view, of better (i.e. higher returning) projects. We also believe that the recent focus on BESS is likely to reduce the risk of “zero pricing” on its merchant exposure. With more DC deals seemingly on the horizon, as recently stated by management, and visible projects that could meaningfully increase the installed base over the coming three years, we believe that successful execution should move Solaria’s valuation steadily higher. Our estimates assume meaningful execution delays but still imply c.9x P/E by 2028E and c.7x P/E by 2030E, with a reasonable balance sheet.

**Valuation methodology.** Our 12-month price target of €25 is based on a combination of fundamental and M&A valuations. Our fundamental valuation (weight 70%) of €23.6 is based: 1) 2/3 on our SOTP of €26.1/share. We value the core RES & Storage business via a DCF, where we model capacity additions for ten years (until 2035E) and use a 6.6% cost of capital. We value the infrastructure business based on a pure-play EV/EBITDA multiple of 8x and the datacenter business based on the existing pipeline, probability-weighted; and 2) 30% on our valuation of existing assets of €18.6/share. When valuing existing assets, we assume no growth beyond 2026. The remaining 30% of our price target is based on our M&A-based theoretical valuation of €28.0/sh, which is derived from our base-case DCF model and a WACC of 6.1%, as any potential bidder would likely be able to bring more financial solidity to the company’s balance sheet, which is reflected through a lower beta and credit spread vs the base case.

**Key risks.** Key downside risks to our thesis and price target include: (1) lower-than-expected commodity and power prices; (2) execution delays; (3) lower-than-expected returns on new capacity additions; (4) higher sovereign interest rates; and (5) worse-than-expected macroeconomic conditions.

### Vestas (Buy)

**Investment thesis.** In our view, Vestas is the best-positioned company in our wind

manufacturer coverage, set to benefit from rising wind installation demand, with strong fundamentals (cash flow generation, growth, balance sheet) owing to its geographical diversification and scale. We expect margin expansion over FY2026, de-risking of the offshore ramp up, and a stronger picture for volume growth through higher order intake. We forecast Vestas to deliver 90% of its medium-term target in FY2027, largely driven by the offshore business reaching break-even. With Vestas reaching peak offshore wind capital expenditure, we see FCF expansion into FY2027. Combined with new targets for capital structure (between +1x and -1x net debt to EBITDA through-the-cycle) and shareholder returns (at least 40% payout for dividends and buybacks), we expect a step up in returns of value over the coming years. Our estimates assume €7bn in cumulative buybacks between FY2026 and FY2030. We expect further improvement in margins and higher cash returns which, combined with an uptick in onshore US and German orders into this year, set the stage for a much stronger medium-term outlook and expect the re-rating to continue.

**Valuation methodology.** We are Buy-rated on Vestas with a 12-month price target of Dkr262. Our valuation methodology (both DCF and M&A) reflects ex-IRA linked US installations. Our valuation methodology is based on a combination of a DCF (85% weighting, Dkr238/share) and an M&A valuation (15% weighting, Dkr400/share). Our DCF-based valuation equates to a target multiple of c.10x 2030E EV/EBIT. For our DCF valuation, we use a 7.4% post-tax WACC in both the medium and long term. Our M&A valuation is derived by applying a 22x multiple to 2030E EBIT (on an ex-IRA growth basis) discounted back to 2026E. Our M&A multiple is based on the second-quartile median average M&A multiple for the Industrials sector in Western Europe over the last ten years. We apply the target multiple to 2030E earnings to capture the growth trajectory of the company.

**Key risks.** Key downside risks to our view and price target include a decline in global volumes in onshore wind that would likely negatively impact order intake; lower US installations, the absence of M&A in the wind sector that could make our M&A component less meaningful; and a significant decline in commodity prices that would likely make wind less profitable vs. thermal technologies.

Prices in this report are as of the close of September 1, 2026.

## Disclosure Appendix

### Reg AC

We, Alberto Gandolfi, Ajay Patel, Mafalda Pombeiro, Dhvani Khenwar, Lawrence Lavizani and Liam Brueckner, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

**Contributing Authors:** Alberto Gandolfi Goldman Sachs Bank Europe SE - Milan branch, Ajay Patel Goldman Sachs International, Mafalda Pombeiro Goldman Sachs International, Dhvani Khenwar Goldman Sachs India SPL, Lawrence Lavizani Goldman Sachs International, Liam Brueckner Goldman Sachs International.

Unless otherwise stated, the individuals listed in the Contributing Authors disclosure of this report are analysts in Goldman Sachs' Global Investment Research division.

### GS Factor Profile

The Goldman Sachs Factor Profile provides investment context for a stock by comparing key attributes to the market (i.e. our universe of rated stocks) and its sector peers. The four key attributes depicted are: Growth, Financial Returns, Multiple (e.g. valuation) and Integrated (a composite of Growth, Financial Returns and Multiple). Growth, Financial Returns and Multiple are calculated by using normalized ranks for specific metrics for each stock. The normalized ranks for the metrics are then averaged and converted into percentiles for the relevant attribute. The precise calculation of each metric may vary depending on the fiscal year, industry and region, but the standard approach is as follows:

**Growth** is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

### M&A Rank

Across our global coverage, we examine stocks using an M&A framework, considering both qualitative factors and quantitative factors (which may vary across sectors and regions) to incorporate the potential that certain companies could be acquired. We then assign a M&A rank as a means of scoring companies under our rated coverage from 1 to 3, with 1 representing high (30%-50%) probability of the company becoming an acquisition target, 2 representing medium (15%-30%) probability and 3 representing low (0%-15%) probability. For companies ranked 1 or 2, in line with our standard departmental guidelines we incorporate an M&A component into our target price. M&A rank of 3 is considered immaterial and therefore does not factor into our price target, and may or may not be discussed in research.

### Quantum

Quantum is Goldman Sachs' proprietary database providing access to detailed financial statement histories, forecasts and ratios. It can be used for in-depth analysis of a single company, or to make comparisons between companies in different sectors and markets.

### Disclosures

#### Pricing information

Acciona Energia (€21.12), Centrica (149.6p), Drax Group (783.5p), E.ON (€17.46), EDP Renovaveis SA (€13.34), Elia Group (€119.60), Enagas (€16.59), Endesa SA (€41.14), Enel SpA (€9.00), Energias de Portugal (€4.67), Engie (€23.91), Fortum OYJ (€21.05), Iberdrola SA (€19.67), National Grid Plc (1,147.5p), Naturgy Energy Group (€29.60), Nordex SE (€36.44), Orsted A/S (Dkr135.00), Pennon Group (460p), Public Power Corp. (€23.80), RWE (€58.10), Redeia (€14.91), SSE Plc (2,359p), Severn Trent Plc (2,986p), Siemens Energy (€142.24), Snam SpA (€5.66), Solaria (€16.53), Terna (€9.51), United Utilities Group (1,362p), Veolia Environnement (€31.88) and Vestas Wind Systems A/S (Dkr210.60)

**The rating(s) for EDP Renovaveis SA, Elia Group, Enagas, Endesa SA, Energias de Portugal, Naturgy Energy Group, Orsted A/S, RWE, Redeia, Snam SpA and Solaria is/are relative to the other companies in its/their coverage universe:** Acciona Energia, Centrica, Drax Group, E.ON, EDP Renovaveis SA, Elia Group, Enagas, Endesa SA, Enel SpA, Energias de Portugal, Engie, Fortum OYJ, Iberdrola SA, National Grid Plc, Naturgy Energy Group, Nordex SE, Orsted A/S, Pennon Group, Public Power Corp., RWE, Redeia, SSE Plc, Severn Trent Plc, Siemens Energy, Snam SpA, Solaria, Terna, United Utilities Group, Veolia Environnement, Vestas Wind Systems A/S

### Company-specific regulatory disclosures

Compendium report: please see disclosures at <https://www.gs.com/research/hedge.html>. Disclosures applicable to the companies included in this compendium can be found in the latest relevant published research

### Distribution of ratings/investment banking relationships

Goldman Sachs Investment Research global Equity coverage universe

|        | Rating Distribution |      |      | Investment Banking Relationships |      |      |
|--------|---------------------|------|------|----------------------------------|------|------|
|        | Buy                 | Hold | Sell | Buy                              | Hold | Sell |
| Global | 50%                 | 34%  | 16%  | 65%                              | 59%  | 43%  |

As of July 1, 2026, Goldman Sachs Global Investment Research had investment ratings on 3,104 equity securities. Goldman Sachs assigns stocks as Buys and Sells on various regional Investment Lists; stocks not so assigned are deemed Neutral. Such assignments equate to Buy, Hold and Sell for the purposes of the above disclosure required by the FINRA Rules. See 'Ratings, Coverage universe and related definitions' below. The Investment Banking

Relationships chart reflects the percentage of subject companies within each rating category for whom Goldman Sachs has provided investment banking services within the previous twelve months.

### Price target and rating history chart(s)

Compendium report: please see disclosures at <https://www.gs.com/research/hedge.html>. Disclosures applicable to the companies included in this compendium can be found in the latest relevant published research

### Target price history table(s)

#### Energias de Portugal (EDP.LS)

| Date of report | Target price (€) | Closing price (€) |
|----------------|------------------|-------------------|
| 06-Aug-26      | 4.90             | 4.52              |
| 11-Jun-26      | 4.70             | 4.48              |
| 07-May-26      | 4.60             | 4.40              |
| 23-Mar-26      | 4.45             | 4.30              |
| 10-Feb-26      | 4.20             | 4.35              |
| 07-Nov-25      | 4.05             | 3.89              |
| 22-Sep-25      | 4.45             | 3.87              |
| 03-Sep-25      | 4.10             | 3.72              |
| 19-Aug-25      | 3.90             | 3.84              |
| 12-May-25      | 3.65             | 3.35              |
| 22-Apr-25      | 3.50             | 3.32              |
| 07-Apr-25      | 3.25             | 2.90              |
| 10-Mar-25      | 3.60             | 3.13              |
| 13-Jan-25      | 3.90             | 3.04              |
| 09-Sep-24      | 4.55             | 4.08              |
| 31-Jul-24      | 4.50             | 3.80              |
| 13-May-24      | 4.35             | 3.73              |
| 19-Mar-24      | 4.40             | 3.47              |
| 06-Feb-24      | 4.85             | 3.94              |
| 08-Jan-24      | 5.40             | 4.54              |
| 03-Nov-23      | 5.30             | 4.22              |
| 17-Oct-23      | 5.40             | 3.77              |
| 11-Sep-23      | 5.25             | 4.14              |

#### Naturgy Energy Group (NTGY.MC)

| Date of report | Target price (€) | Closing price (€) |
|----------------|------------------|-------------------|
| 06-Aug-26      | 35.00            | 28.78             |
| 30-Jun-26      | 34.00            | 27.46             |
| 30-Apr-26      | 32.50            | 26.78             |
| 23-Mar-26      | 30.50            | 25.46             |
| 18-Mar-26      | 30.00            | 26.14             |
| 03-Sep-25      | 26.00            | 26.50             |
| 24-Jul-25      | 27.00            | 27.38             |
| 21-Feb-25      | 25.00            | 25.42             |
| 09-Sep-24      | 23.50            | 22.86             |
| 04-Jul-24      | 23.00            | 20.96             |
| 27-Feb-24      | 22.50            | 22.32             |

#### Endesa SA (ELE.MC)

| Date of report | Target price (€) | Closing price (€) |
|----------------|------------------|-------------------|
| 30-Jul-26      | 33.50            | 41.70             |
| 23-Mar-26      | 33.00            | 34.19             |
| 25-Feb-26      | 31.50            | 35.19             |
| 30-Oct-25      | 29.00            | 31.24             |
| 03-Sep-25      | 26.00            | 25.60             |
| 30-Jul-25      | 25.50            | 25.64             |
| 08-May-25      | 26.00            | 25.21             |
| 13-Mar-25      | 23.50            | 22.04             |
| 25-Nov-24      | 23.00            | 20.71             |
| 09-Sep-24      | 22.50            | 19.51             |
| 24-Jul-24      | 21.00            | 17.99             |
| 09-May-24      | 19.50            | 17.70             |
| 29-Apr-24      | 20.50            | 17.14             |
| 04-Apr-24      | 19.75            | 17.15             |
| 04-Mar-24      | 19.00            | 16.04             |
| 06-Feb-24      | 24.00            | 17.82             |
| 08-Jan-24      | 24.50            | 19.23             |
| 02-Nov-23      | 22.00            | 18.55             |
| 17-Oct-23      | 22.50            | 19.10             |
| 29-Sep-23      | 21.50            | 19.28             |

#### Orsted A/S (ORSTED.CO)

| Date of report | Target price (Dkr) | Closing price (Dkr) |
|----------------|--------------------|---------------------|
| 13-Aug-26      | 185.00             | 142.60              |
| 07-May-26      | 190.00             | 161.65              |
| 27-Apr-26      | 185.00             | 167.70              |
| 09-Feb-26      | 150.00             | 149.15              |
| 07-Jan-26      | 145.00             | 133.20              |
| 10-Nov-25      | 120.00             | 122.40              |
| 17-Sep-25      | 130.00             | 106.50              |
| 03-Sep-25      | 240.00             | 109.85              |
| 12-Aug-25      | 235.00             | 118.89              |
| 21-Jul-25      | 300.00             | 170.30              |
| 22-Apr-25      | 305.00             | 151.73              |
| 07-Feb-25      | 330.00             | 165.85              |
| 27-Jan-25      | 355.00             | 146.95              |
| 22-Jan-25      | 365.00             | 145.62              |
| 25-Nov-24      | 445.00             | 218.76              |
| 08-Oct-24      | 520.00             | 249.11              |
| 16-Aug-24      | 505.00             | 209.37              |
| 13-Jun-24      | 515.00             | 218.87              |
| 08-Feb-24      | 505.00             | 213.43              |
| 08-Jan-24      | 455.00             | 214.54              |
| 16-Nov-23      | 410.00             | 168.91              |
| 01-Nov-23      | 440.00             | 140.34              |
| 17-Oct-23      | 515.00             | 181.80              |
| 11-Sep-23      | 590.00             | 213.54              |

**RWE (RWE.G.DE)**

| Date of report | Target price (€) | Closing price (€) |
|----------------|------------------|-------------------|
| 31-Aug-26      | 75.00            | 58.64             |
| 20-Jul-26      | 71.00            | 58.02             |
| 11-Jun-26      | 68.50            | 57.50             |
| 27-Apr-26      | 68.00            | 60.74             |
| 23-Mar-26      | 63.50            | 54.94             |
| 13-Mar-26      | 63.00            | 57.02             |
| 02-Feb-26      | 60.00            | 53.44             |
| 19-Nov-25      | 53.50            | 43.91             |
| 27-Oct-25      | 51.00            | 40.47             |
| 15-Aug-25      | 44.50            | 34.83             |
| 31-Mar-25      | 41.00            | 33.02             |
| 21-Mar-25      | 40.00            | 32.09             |
| 27-Jan-25      | 39.00            | 28.52             |
| 14-Nov-24      | 40.50            | 31.75             |
| 21-Aug-24      | 44.50            | 31.49             |
| 14-Aug-24      | 47.50            | 30.45             |
| 13-Jun-24      | 49.00            | 33.66             |
| 16-May-24      | 46.00            | 35.39             |
| 15-Mar-24      | 47.00            | 31.01             |
| 21-Feb-24      | 46.50            | 31.18             |
| 29-Jan-24      | 48.00            | 34.28             |
| 08-Jan-24      | 53.50            | 40.48             |
| 28-Nov-23      | 51.00            | 39.56             |
| 14-Nov-23      | 49.50            | 37.66             |
| 17-Oct-23      | 49.00            | 33.84             |
| 11-Sep-23      | 54.00            | 36.76             |

**Snam SpA (SRG.MI)**

| Date of report | Target price (€) | Closing price (€) |
|----------------|------------------|-------------------|
| 23-Mar-26      | 7.10             | 6.25              |
| 17-Feb-26      | 6.90             | 6.35              |
| 15-Dec-25      | 6.40             | 5.57              |
| 03-Sep-25      | 5.85             | 5.10              |
| 24-Jan-25      | 5.30             | 4.41              |
| 28-Jun-24      | 5.00             | 4.13              |
| 26-Jan-24      | 5.10             | 4.51              |

**Elia Group (ELI.BR)**

| Date of report | Target price (€) | Closing price (€) |
|----------------|------------------|-------------------|
| 11-May-26      | 150.00           | 135.20            |
| 23-Mar-26      | 145.00           | 126.70            |
| 07-Jan-26      | 125.00           | 116.40            |
| 03-Sep-25      | 120.00           | 93.70             |
| 16-Jun-25      | 115.00           | 93.70             |
| 11-Sep-24      | 130.00           | 99.47             |
| 08-Jan-24      | 135.00           | 108.56            |

**Solaria (SLRS.MC)**

| Date of report | Target price (€) | Closing price (€) |
|----------------|------------------|-------------------|
| 23-Jul-26      | 25.00            | 18.32             |
| 27-Apr-26      | 26.00            | 25.31             |
| 23-Mar-26      | 25.50            | 22.12             |
| 26-Feb-26      | 24.50            | 21.23             |
| 09-Feb-26      | 22.50            | 18.21             |
| 18-Nov-25      | 22.00            | 17.66             |
| 06-Oct-25      | 15.00            | 14.17             |
| 03-Sep-25      | 13.00            | 12.98             |
| 28-Jul-25      | 11.00            | 10.82             |
| 17-Mar-25      | 9.30             | 7.57              |
| 13-Jan-25      | 11.50            | 7.67              |
| 21-Oct-24      | 12.50            | 10.48             |
| 09-Sep-24      | 12.00            | 11.62             |
| 12-Mar-24      | 12.50            | 10.21             |
| 06-Feb-24      | 16.00            | 13.07             |
| 08-Jan-24      | 22.00            | 16.76             |
| 17-Oct-23      | 20.00            | 14.18             |
| 28-Sep-23      | 18.50            | 14.10             |
| 11-Sep-23      | 17.50            | 13.72             |

**EDP Renovaveis SA (EDPR.LS)**

| Date of report | Target price (€) | Closing price (€) |
|----------------|------------------|-------------------|
| 30-Jul-26      | 18.00            | 13.45             |
| 11-Jun-26      | 17.50            | 13.73             |
| 27-Apr-26      | 15.00            | 14.08             |
| 23-Mar-26      | 14.00            | 12.75             |
| 07-Nov-25      | 13.50            | 11.72             |
| 22-Sep-25      | 12.75            | 10.19             |
| 08-Jul-25      | 12.50            | 10.05             |

**Redeia (REDE.MC)**

| Date of report | Target price (€) | Closing price (€) |
|----------------|------------------|-------------------|
| 23-Mar-26      | 16.00            | 14.45             |
| 12-Dec-25      | 15.00            | 14.92             |
| 03-Sep-25      | 18.00            | 16.70             |
| 01-Aug-25      | 17.50            | 16.57             |
| 14-Feb-24      | 18.00            | 14.47             |
| 08-Jan-24      | 16.00            | 14.94             |

**EDP Renovaveis SA (EDPR.LS)**

| Date of report | Target price (€) | Closing price (€) |
|----------------|------------------|-------------------|
| 08-May-25      | 11.00            | 8.10              |
| 07-Apr-25      | 10.75            | 6.89              |
| 27-Feb-25      | 12.50            | 8.32              |
| 27-Jan-25      | 14.00            | 8.77              |
| 10-Jan-25      | 15.00            | 9.01              |
| 11-Nov-24      | 15.50            | 11.08             |
| 09-Sep-24      | 19.00            | 15.66             |
| 29-Jul-24      | 18.50            | 14.61             |
| 13-Jun-24      | 18.00            | 13.73             |
| 09-May-24      | 17.00            | 14.35             |
| 01-Mar-24      | 17.50            | 13.01             |
| 06-Feb-24      | 18.50            | 14.42             |
| 03-Nov-23      | 19.50            | 16.60             |
| 17-Oct-23      | 21.00            | 14.58             |
| 11-Sep-23      | 21.50            | 16.66             |

**Redeia (REDE.MC)**

| Date of report | Target price (€) | Closing price (€) |
|----------------|------------------|-------------------|
|----------------|------------------|-------------------|

**Enagas (ENAG.MC)**

| Date of report | Target price (€) | Closing price (€) |
|----------------|------------------|-------------------|
| 23-Jul-26      | 16.00            | 17.35             |
| 30-Mar-26      | 15.50            | 16.99             |
| 19-Dec-25      | 13.50            | 13.21             |
| 03-Sep-25      | 14.00            | 13.12             |
| 22-Oct-24      | 13.50            | 13.31             |
| 24-Apr-24      | 15.50            | 13.81             |
| 20-Feb-24      | 15.00            | 14.93             |
| 24-Oct-23      | 14.50            | 15.89             |

Price targets shown in table(s) are unadjusted for corporate actions.

**Regulatory disclosures****Disclosures required by United States laws and regulations**

See company-specific regulatory disclosures above for any of the following disclosures required as to companies referred to in this report: manager or co-manager in a pending transaction; 1% or other ownership; compensation for certain services; types of client relationships; managed/co-managed public offerings in prior periods; directorships; registered market maker. Goldman Sachs trades or may trade as a principal in debt securities (or in related derivatives) of issuers discussed in this report.

The following are additional required disclosures: **Ownership and material conflicts of interest:** Goldman Sachs policy prohibits its analysts, professionals reporting to analysts and members of their households from owning securities of any company in the analyst's area of coverage. **Analyst compensation:** Analysts are paid in part based on the profitability of Goldman Sachs, which includes investment banking revenues. **Analyst as officer or director:** Goldman Sachs policy generally prohibits its analysts, persons reporting to analysts or members of their households from serving as an officer, director or advisor of any company in the analyst's area of coverage. **Non-U.S. Analysts:** Non-U.S. analysts may not be associated persons of Goldman Sachs & Co. LLC and therefore may not be subject to FINRA Rule 2241 or FINRA Rule 2242 restrictions on communications with a subject company, public appearances and trading in securities covered by the analysts.

**Additional disclosures required under the laws and regulations of jurisdictions other than the United States**

The following disclosures are those required by the jurisdiction indicated, except to the extent already made above pursuant to United States laws and regulations. **Australia:** Goldman Sachs Australia Pty Ltd and its affiliates are not authorised deposit-taking institutions (as that term is defined in the Banking Act 1959 (Cth)) in Australia and do not provide banking services, nor carry on a banking business, in Australia. This research, and any access to it, is intended only for "wholesale clients" within the meaning of the Australian Corporations Act, unless otherwise agreed by Goldman Sachs. In producing research reports, members of Global Investment Research of Goldman Sachs Australia may attend site visits and other meetings hosted by the companies and other entities which are the subject of its research reports. In some instances the costs of such site visits or meetings may be met in part or in whole by the issuers concerned if Goldman Sachs Australia considers it is appropriate and reasonable in the specific circumstances relating to the site visit or meeting. To the extent that the contents of this document contains any financial product advice, it is general advice only and has been prepared by Goldman Sachs without taking into account a client's objectives, financial situation or needs. A client should, before acting on any such advice, consider the appropriateness of the advice having regard to the client's own objectives, financial situation and needs. A copy of certain Goldman Sachs Australia and New Zealand disclosure of interests and a copy of Goldman Sachs' Australian Sell-Side Research Independence Policy Statement are available at: <https://www.goldmansachs.com/disclosures/australia-new-zealand/index.html>. **Brazil:** Disclosure information in relation to CVM Resolution n. 20 is available at <https://www.gs.com/worldwide/brazil/area/gir/index.html>. Where applicable, the Brazil-registered analyst primarily responsible for the content of this research report, as defined in Article 20 of CVM Resolution n. 20, is the first author named at the beginning of this report, unless indicated otherwise at the end of the text. **Canada:** This information is being provided to you for information purposes only and is not, and under no circumstances should be construed as, an advertisement, offering or solicitation by Goldman Sachs & Co. LLC for purchasers of securities in Canada to trade in any Canadian security. Goldman Sachs & Co. LLC is not registered as a dealer in any jurisdiction in Canada under applicable Canadian securities laws and generally is not permitted to trade in Canadian securities and may be prohibited from selling certain securities and products in certain jurisdictions in Canada. If you wish to trade in any Canadian securities or other products in Canada please contact Goldman Sachs Canada Inc., an affiliate of The Goldman Sachs Group Inc., or another registered Canadian dealer. **Hong Kong:** Further information on the securities of covered companies referred to in this research may be obtained on request from Goldman Sachs (Asia) L.L.C. **India:** Further information on the subject company or companies referred to in this research may be obtained from Goldman Sachs (India) Securities Private Limited, Research

Analyst – SEBI Registration Number INH000001493, 10th Floor, Ascent-Worli, Sudam Kalu Ahire Marg, Worli, Mumbai-400 025, India, Corporate Identity Number U74140MH2006FTC160634, Phone +91 22 6616 9000, Fax +91 22 6616 9001. Goldman Sachs may beneficially own 1% or more of the securities (as such term is defined in clause 2 (h) the Indian Securities Contracts (Regulation) Act, 1956) of the subject company or companies referred to in this research report. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Goldman Sachs (India) Securities Private Limited compliance officer and investor grievance contact details, a copy of the annual compliance audit report and other relevant information and disclosures can be found at this link: <https://www.goldmansachs.com/worldwide/india/research-analyst>. **Japan:** See below. **Korea:** This research, and any access to it, is intended only for “professional investors” within the meaning of the Financial Services and Capital Markets Act, unless otherwise agreed by Goldman Sachs. Further information on the subject company or companies referred to in this research may be obtained from Goldman Sachs (Asia) L.L.C., Seoul Branch. **New Zealand:** Goldman Sachs New Zealand Limited and its affiliates are neither “registered banks” nor “deposit takers” (as defined in the Reserve Bank of New Zealand Act 1989) in New Zealand. This research, and any access to it, is intended for “wholesale clients” (as defined in the Financial Advisers Act 2008) unless otherwise agreed by Goldman Sachs. A copy of certain Goldman Sachs Australia and New Zealand disclosure of interests is available at: <https://www.goldmansachs.com/disclosures/australia-new-zealand/index.html>. **Russia:** Research reports distributed in the Russian Federation are not advertising as defined in the Russian legislation, but are information and analysis not having product promotion as their main purpose and do not provide appraisal within the meaning of the Russian legislation on appraisal activity. Research reports do not constitute a personalized investment recommendation as defined in Russian laws and regulations, are not addressed to a specific client, and are prepared without analyzing the financial circumstances, investment profiles or risk profiles of clients. Goldman Sachs assumes no responsibility for any investment decisions that may be taken by a client or any other person based on this research report. **Singapore:** Goldman Sachs (Singapore) Pte. (Company Number: 198602165W), which is regulated by the Monetary Authority of Singapore, accepts legal responsibility for this research, and should be contacted with respect to any matters arising from, or in connection with, this research. **Taiwan:** This material is for reference only and must not be reprinted without permission. Investors should carefully consider their own investment risk. Investment results are the responsibility of the individual investor. **United Kingdom:** Persons who would be categorized as retail clients in the United Kingdom, as such term is defined in the rules of the Financial Conduct Authority, should read this research in conjunction with prior Goldman Sachs research on the covered companies referred to herein and should refer to the risk warnings that have been sent to them by Goldman Sachs International. A copy of these risks warnings, and a glossary of certain financial terms used in this report, are available from Goldman Sachs International on request.

**European Union and United Kingdom:** Disclosure information in relation to Article 6 (2) of the European Commission Delegated Regulation (EU) (2016/958) supplementing Regulation (EU) No 596/2014 of the European Parliament and of the Council (including as that Delegated Regulation is implemented into United Kingdom domestic law and regulation following the United Kingdom’s departure from the European Union and the European Economic Area) with regard to regulatory technical standards for the technical arrangements for objective presentation of investment recommendations or other information recommending or suggesting an investment strategy and for disclosure of particular interests or indications of conflicts of interest is available at <https://www.gs.com/disclosures/europeanpolicy.html> which states the European Policy for Managing Conflicts of Interest in Connection with Investment Research.

**Japan:** Goldman Sachs Japan Co., Ltd. is a Financial Instrument Dealer registered with the Kanto Financial Bureau under registration number Kinsho 69, and a member of Japan Securities Dealers Association, Financial Futures Association of Japan Type II Financial Instruments Firms Association, and Investment Management Association of Japan. Sales and purchase of equities are subject to commission pre-determined with clients plus consumption tax. See company-specific disclosures as to any applicable disclosures required by Japanese stock exchanges, the Japanese Securities Dealers Association or the Japanese Securities Finance Company.

## Ratings, coverage universe and related definitions

**Buy (B), Neutral (N), Sell (S)** Analysts recommend stocks as Buys or Sells for inclusion on various regional Investment Lists. Being assigned a Buy or Sell on an Investment List is determined by a stock’s total return potential relative to its coverage universe. Any stock not assigned as a Buy or a Sell on an Investment List with an active rating (i.e., a stock that is not Rating Suspended, Not Rated, Early-Stage Biotech, Coverage Suspended or Not Covered), is deemed Neutral. Each region manages Regional Conviction Lists, which are selected from Buy rated stocks on the respective region’s Investment Lists and represent investment recommendations focused on the size of the total return potential and/or the likelihood of the realization of the return across their respective areas of coverage. The addition or removal of stocks from such Conviction Lists are managed by the Investment Review Committee or other designated committee in each respective region and do not represent a change in the analysts’ investment rating for such stocks.

**Total return potential** represents the upside or downside differential between the current share price and the price target, including all paid or anticipated dividends, expected during the time horizon associated with the price target. Price targets are required for all covered stocks. The total return potential, price target and associated time horizon are stated in each report adding or reiterating an Investment List membership.

**Coverage Universe:** A list of all stocks in each coverage universe is available by primary analyst, stock and coverage universe at <https://www.gs.com/research/hedge.html>.

**Not Rated (NR).** The investment rating, target price and earnings estimates (where relevant) are removed pursuant to Goldman Sachs policy when Goldman Sachs is acting in an advisory capacity in a merger or in a strategic transaction involving this company, when there are legal, regulatory or policy constraints due to Goldman Sachs’ involvement in a transaction, and in certain other circumstances. **Early-Stage Biotech (ES).** An investment rating and a target price are not assigned pursuant to Goldman Sachs policy when this company has neither a drug, treatment or medical device that has passed a Phase II clinical trial nor a license to distribute a post-Phase II drug, treatment or medical device. **Rating Suspended (RS).** Goldman Sachs Research has suspended the investment rating and price target for this stock, because there is not a sufficient fundamental basis for determining an investment rating or target price. The previous investment rating and target price, if any, are no longer in effect for this stock and should not be relied upon. **Coverage Suspended (CS).** Goldman Sachs has suspended coverage of this company. **Not Covered (NC).** Goldman Sachs does not cover this company.

## Global product; distributing entities

Goldman Sachs Global Investment Research produces and distributes research products for clients of Goldman Sachs on a global basis. Analysts based in Goldman Sachs offices around the world produce research on industries and companies, and research on macroeconomics, currencies, commodities and portfolio strategy. This research is disseminated in Australia by Goldman Sachs Australia Pty Ltd (ABN 21 006 797 897); in Brazil by Goldman Sachs do Brasil Corretora de Títulos e Valores Mobiliários S.A.; Public Communication Channel Goldman Sachs Brazil: 0800 727 5764 and / or [contatogoldmanbrasil@gs.com](mailto:contatogoldmanbrasil@gs.com). Available Weekdays (except holidays), from 9am to 6pm. Canal de Comunicação com o Público Goldman Sachs Brasil: 0800 727 5764 e/ou [contatogoldmanbrasil@gs.com](mailto:contatogoldmanbrasil@gs.com). Horário de funcionamento: segunda-feira à sexta-feira (exceto feriados), das 9h às 18h; in Canada by Goldman Sachs & Co. LLC; in Hong Kong by Goldman Sachs (Asia) L.L.C.; in India by Goldman Sachs (India) Securities Private Ltd.; in Japan by Goldman Sachs Japan Co., Ltd.; in the Republic of Korea by Goldman Sachs (Asia) L.L.C., Seoul Branch; in New Zealand by Goldman Sachs New Zealand Limited; in Russia by OOO Goldman Sachs; in Singapore by Goldman Sachs (Singapore) Pte. (Company Number: 198602165W); and in the United States of America by Goldman Sachs & Co. LLC. Goldman Sachs International has approved this research in connection with its distribution in the United Kingdom.

Goldman Sachs International (“GSI”), authorised by the Prudential Regulation Authority (“PRA”) and regulated by the Financial Conduct Authority (“FCA”) and the PRA, has approved this research in connection with its distribution in the United Kingdom.

**European Economic Area:** Goldman Sachs Bank Europe SE (“GSBE”) is a credit institution incorporated in Germany and, within the Single Supervisory Mechanism, subject to direct prudential supervision by the European Central Bank and in other respects supervised by German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, BaFin) and Deutsche Bundesbank and disseminates research within the European Economic Area.

## General disclosures

This research is for our clients only. Other than disclosures relating to Goldman Sachs, this research is based on current public information that we consider reliable, but we do not represent it is accurate or complete, and it should not be relied on as such. The information, opinions, estimates and forecasts contained herein are as of the date hereof and are subject to change without prior notification. We seek to update our research as appropriate, but various regulations may prevent us from doing so. Other than certain industry reports published on a periodic basis, the large majority of reports are published at irregular intervals as appropriate in the analyst's judgment.

Goldman Sachs conducts a global full-service, integrated investment banking, investment management, and brokerage business. We have investment banking and other business relationships with a substantial percentage of the companies covered by Global Investment Research. Goldman Sachs & Co. LLC, the United States broker dealer, is a member of SIPC (<https://www.sipc.org>).

Our salespeople, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients and principal trading desks that reflect opinions that are contrary to the opinions expressed in this research. Our asset management area, principal trading desks and investing businesses may make investment decisions that are inconsistent with the recommendations or views expressed in this research.

The analysts named in this report may have from time to time discussed with our clients, including Goldman Sachs salespersons and traders, or may discuss in this report, trading strategies that reference catalysts or events that may have a near-term impact on the market price of the equity securities discussed in this report, which impact may be directionally counter to the analyst's published price target expectations for such stocks. Any such trading strategies are distinct from and do not affect the analyst's fundamental equity rating for such stocks, which rating reflects a stock's return potential relative to its coverage universe as described herein.

We and our affiliates, officers, directors, and employees will from time to time have long or short positions in, act as principal in, make a market or act as liquidity provider in, and buy or sell, any securities, derivatives, or other financial instruments referred to in this research (including any financial instruments issued by the companies referred to herein), unless otherwise prohibited by regulation or Goldman Sachs policy.

The views attributed to third party presenters at Goldman Sachs arranged conferences, including individuals from other parts of Goldman Sachs, do not necessarily reflect those of Global Investment Research and are not an official view of Goldman Sachs.

Any third party referenced herein, including any salespeople, traders and other professionals or members of their household, may have positions in the products mentioned that are inconsistent with the views expressed by analysts named in this report.

This research is not an offer to sell or the solicitation of an offer to buy any security in any jurisdiction where such an offer or solicitation would be illegal. It does not constitute a personal recommendation or take into account the particular investment objectives, financial situations, or needs of individual clients. Clients should consider whether any advice or recommendation in this research is suitable for their particular circumstances and, if appropriate, seek professional advice, including tax advice. The price and value of investments referred to in this research and the income from them may fluctuate. Past performance is not a guide to future performance, future returns are not guaranteed, and a loss of original capital may occur. Fluctuations in exchange rates could have adverse effects on the value or price of, or income derived from, certain investments.

Certain transactions, including those involving futures, options, and other derivatives, give rise to substantial risk and are not suitable for all investors. Investors should review current options and futures disclosure documents which are available from Goldman Sachs sales representatives or at <https://www.theocc.com/about/publications/character-risks.jsp> and [https://www.goldmansachs.com/disclosures/cftc\\_fcm\\_disclosures](https://www.goldmansachs.com/disclosures/cftc_fcm_disclosures). Transaction costs may be significant in option strategies calling for multiple purchase and sales of options such as spreads. Supporting documentation will be supplied upon request.

**Differing Levels of Service provided by Global Investment Research:** The level and types of services provided to you by Goldman Sachs Global Investment Research may vary as compared to that provided to internal and other external clients of GS, depending on various factors including your individual preferences as to the frequency and manner of receiving communication, your risk profile and investment focus and perspective (e.g., marketwide, sector specific, long term, short term), the size and scope of your overall client relationship with GS, and legal and regulatory constraints. As an example, certain clients may request to receive notifications when research on specific securities is published, and certain clients may request that specific data underlying analysts' fundamental analysis available on our internal client websites be delivered to them electronically through data feeds or otherwise. No change to an analyst's fundamental research views (e.g., ratings, price targets, or material changes to earnings estimates for equity securities), will be communicated to any client prior to inclusion of such information in a research report broadly disseminated through electronic publication to our internal client websites or through other means, as necessary, to all clients who are entitled to receive such reports.

All research reports are disseminated and available to all clients simultaneously through electronic publication to our internal client websites. Not all research content is redistributed to our clients or available to third-party aggregators, nor is Goldman Sachs responsible for the redistribution of our research by third party aggregators. For research, models or other data related to one or more securities, markets or asset classes (including related services) that may be available to you, please contact your GS representative or go to <https://research.gs.com>.

Disclosure information is also available at <https://www.gs.com/research/hedge.html> or from Research Compliance, 200 West Street, New York, NY 10282.

© 2026 Goldman Sachs.

You are permitted to store, display, analyze, modify, reformat, and print the information made available to you via this service only for your own use. You may not resell or reverse engineer this information to calculate or develop any index for disclosure and/or marketing or create any other derivative works or commercial product(s), data or offering(s) without the express written consent of Goldman Sachs. You are not permitted to publish, transmit, or otherwise reproduce this information, in whole or in part, in any format to any third party without the express written consent of Goldman Sachs. This foregoing restriction includes, without limitation, using, extracting, downloading or retrieving this information, in whole or in part, to train or finetune a machine learning or artificial intelligence system, or to provide or reproduce this information, in whole or in part, as a prompt or input to any such system.